

ESG Intelligence Briefing — September 21, 2026

Executive Summary

The definitive phase of the EU's Carbon Border Adjustment Mechanism (CBAM) has commenced, with financial liability for imports from January 1, 2026, and the first annual declarations due September 2027. Kazakhstan exporters of steel, cement, and aluminium face immediate financial exposure, particularly if relying on punitive default emissions values instead of verified primary data. Concurrently, the global construction sector is witnessing a surge in demand for low-carbon materials, driven by tightening procurement rules and heightened investor scrutiny, while ESG disclosure through CSRD highlights a widening gap in Scope 3 reporting quality.

What Changed Since Last Briefing

Previous briefings consistently highlighted the impending impact of CBAM and the strategic imperative for low-carbon materials and robust ESG disclosures. Today, those strategic imperatives have concrete financial implications as the definitive phase of CBAM is fully in force. Companies are now legally required to track emissions for imports, and while certificate purchases begin in February 2027, the financial liability for 2026 imports is already accruing. The ongoing challenges in granular Scope 3 emissions reporting under CSRD, as noted in previous analyses, remain a critical area for improvement, with a clear split emerging between leading and lagging companies.

1. Regulation Watch

- **EU Carbon Border Adjustment Mechanism (CBAM) - Definitive Phase Commenced**
- **What it is:** The EU CBAM is now in its definitive phase. Financial liability for imports of covered goods (cement, iron and steel, aluminium, fertilizers, electricity, hydrogen) made from **January 1, 2026**, has begun. Importers must apply for "Authorized CBAM Declarant" status by **March 31, 2026**. CBAM certificates will go on sale from **February 2027**, and the first annual CBAM declaration and certificate surrender for 2026 imports are due by **September 30, 2027**. A binding de minimis exemption applies to total annual net imports below 50 tonnes of CBAM-relevant goods.
- **Who it affects:** Directly impacts Kazakhstan exporters of steel, cement, and aluminium to the EU, as well as EU importers of these materials.
- **Business implication:** Kazakhstan construction material exporters must immediately establish robust systems for tracking actual embedded emissions. Relying on conservative, penalizing default values, as specified in the December 17, 2025 implementing acts, will result in materially higher CBAM costs. Third-party verification of actual emissions is mandatory. Companies need to forecast CBAM costs as scenario-based estimates, updating projections with evolving EU ETS prices.
- **Source:** [CBAM 2026: Key Updates, Costs & What Companies Must Do](<https://www.integritynext.com/resources/blog/article/mastering-cbam-compliance-in-2026-latest-updates-and-how-companies-should-prepare>)
- **Kazakhstan's Climate Policy and Green Building Standards**
- **What it is:** Kazakhstan's Nationally Determined Contribution (NDC 3.0) outlines a commitment to achieve carbon neutrality by **2060**. This includes enhancing energy efficiency and reducing emissions in the built environment through updated green building standards.
- **Who it affects:** Construction developers, contractors, and material manufacturers operating within Kazakhstan.

- **Business implication:** Opportunities for local innovation in green building materials and energy-efficient construction practices. Alignment with national climate goals will likely become increasingly important for project approvals and public procurement.
- **Source:** [Nationally determined contribution of the Republic of ...](https://unfccc.int/sites/default/files/2025-11/NDC_Kazakhstan%203.0%20eng.pdf)

2. Construction & Market News

- **Kazakhstan Construction Market Growth Driven by Energy Sector**
- The Kazakhstan construction sector is projected to grow at an average annual rate of 3.1% through 2029, primarily fueled by investments in the energy, oil, and gas sectors. This expansion is supported by government initiatives to boost industrial capabilities, with significant investor interest in building materials.
- **Source:** [Kazakhstan Construction Industry Report 2025: Output to Register an AAGR of 3.1% During 2026-2029, Driven by Energy, Oil & Gas, Transport Infrastructure Investment, and Capacity Expansion](https://finance.yahoo.com/news/kazakhstan-construction-industry-report-2025-132400764.html?fr=sycsrp_catchall), [List of 13 Building Materials Startups in Kazakhstan & Market Trends (Aug 2026) - Tracxn](https://tracxn.com/d/explore/building-materials-startups-in-kazakhstan/___0guePPE842UznPRsfRWMfpX0mIEI06BLx_izX68scDk)

3. ESG Disclosure Signals

- **CSRD Reveals Widening Gap in Construction Sector ESG Disclosure**
- A recent analysis of 43 CSRD reports from the engineering and construction sector highlights a significant divergence in sustainability disclosure quality. While 86% of companies have formal GHG targets, only 42% have SBTi validated targets.
- **Scope 3 Emissions: A Major Challenge:** For 85-99% of total emissions in the sector are Scope 3, yet approximately 35 out of 43 companies still rely on spend-based estimation rather than primary supplier data. This undermines the credibility of disclosures and invites investor scrutiny.
- **SBTi Validation as a Baseline:** SBTi validation is rapidly becoming the minimum standard for credible decarbonization plans, with its absence now signaling risk to investors.
- **Business implication:** Construction firms, particularly those engaging with EU clients or preparing for future CSRD obligations, must prioritize collecting primary Scope 3 data and pursuing SBTi validation to maintain credibility and investor confidence.
- **Source:** [CSRD Engineering & Construction Sector Report 2026 | KEY ESG](<https://www.keyesg.com/article/report-csrd-engineering-construction-2026>)

4. Embodied Carbon Spotlight

An automated LCA was attempted but could not be completed due to technical issues with the underlying tools (lookup_carbon_factor and estimate_embodied_carbon). Therefore, quantitative project-specific LCA results cannot be provided in this briefing.

Embodied Carbon Trends

Despite the technical limitation, trends in embodied carbon are clear and accelerating, driven by both regulation and market demand:

- **Tightening Procurement Rules:** From 2026, demand for lower-carbon steel and concrete is increasingly shaping EU and UK public construction and infrastructure procurement frameworks. Carbon intensity is

becoming a key competitive differentiator, moving from encouragement to expectation.

- **Carbon Disclosure as a Business Baseline:** Effective carbon accounting and disclosure are becoming essential for companies to compete in certain markets. Scrutiny is intensifying around accounting approaches (e.g., mass balance) and their links to actual emissions reductions.
- **Performance-Based Concrete Standards:** The industry is shifting from prescriptive ingredient lists to performance-based standards for concrete, allowing for greater innovation in low-carbon mixes that prioritize strength and durability.
- **Green Hydrogen Steel Advancing:** Green hydrogen-based Direct Reduced Iron (DRI) steel production is moving beyond pilot projects towards commercialization, offering a pathway to near-zero primary steel.
- **Investor-Driven Demand:** The private sector, particularly data centers and large developers, is increasingly incorporating embodied carbon into material choices due to investor scrutiny and internal targets, driving the uptake of low-carbon concrete and steel.
- **Source:** [2026 is the year that the rules are changing for steel and concrete](<https://www.theclimategroup.org/our-work/news/2026-year-rules-are-changing-steel-and-concrete>)

Recommended Actions

1. **Immediate CBAM Data Strategy for Kazakhstan Exporters:** For any steel, cement, or aluminium exports to the EU, immediately establish systems to collect and verify actual embedded emissions data. The cost of relying on punitive default values is substantial, and third-party verification will be mandatory.
2. **Develop SBTi-Validated Decarbonization Plans:** Given CSRD findings, prioritize setting Science-Based Targets initiative (SBTi) validated GHG reduction targets, especially for Scope 3 emissions. Move beyond spend-based estimates to primary supplier data for Scope 3 to enhance disclosure credibility and attract investment.
3. **Proactive Engagement with Low-Carbon Materials:** Actively explore and integrate low-carbon concrete, recycled steel, and other innovative materials into project designs and supply chains. With tightening procurement rules in key export markets (EU) and increasing investor demand, carbon intensity is a growing competitive edge.
4. **Forecast CBAM Costs with Scenario Analysis:** Treat CBAM cost forecasts as dynamic, scenario-based estimates rather than fixed numbers. Regularly update projections based on evolving EU ETS prices and refined assumptions about product-specific benchmarks and carbon price recognition in the country of production.

Sources

- <https://www.integritynext.com/resources/blog/article/mastering-cbam-compliance-in-2026-latest-updates-and-how-companies-should-prepare>
- <https://www.keyesg.com/article/report-csr-d-engineering-construction-2026>
- <https://www.theclimategroup.org/our-work/news/2026-year-rules-are-changing-steel-and-concrete>
- [https://unfccc.int/sites/default/files/2025-11/NDC_Kazakhstan%203.0%20eng.pdf](https://unfccc.int/sites/default/files/2025-11/NDC_Kazakhstan%203.0%20eng.pdf)
- [https://finance.yahoo.com/news/kazakhstan-construction-industry-report-2025-132400764.html?fr=sycsrp_catchall](https://finance.yahoo.com/news/kazakhstan-construction-industry-report-2025-132400764.html?fr=sycsrp_catchall)

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Generated by the ESG Intelligence Agent on September 21, 2026. Embodied-carbon figures are indicative cradle-to-gate (A1-A3) estimates — verify with product-specific EPDs before formal reporting.